The General Mortgage bonds are to receive about $350 each in new first $3\frac{1}{2}$s and Series *A* $4\frac{1}{2}$s and about $240 each in Series *B* $4\frac{1}{2}$s and preferred stock. After seasoning, the $3\frac{1}{2}$s may deserve an ultimate market value of 90. Earnings of 8 millions will nominally cover full interest on the Series *A* $4\frac{1}{2}$s; but distribution will depend on the capital-fund appropriation. Market prices of, say, 40 for the Series *A* $4\frac{1}{2}$s, 20 for the Series *B* $4\frac{1}{2}$s, and 5 for the preferred seem reasonable, the last two representing mainly speculative possibilities. These would indicate a total value of 51 for the General Mortgage bonds, corresponding closely (as it should) with the result reached by the first method.[8]

*Conclusion.* The St. Paul General Mortgage bonds are clearly undervalued at 25 unless the future of the railroads is so gloomy that practically all carrier securities are currently overvalued. In any event, these bonds should prove a better holding than the junior obligations and preferred stocks of various solvent, but not strongly entrenched, railroads.

### *A COMPARISON OF MISSOURI, KANSAS & TEXAS, AND ST. LOUIS-SAN FRANCISCO (Circular issued in January 1922)*

**Introduction.** The new securities of the Missouri, Kansas & Texas Railway present a number of attractive opportunities for both the investor and the speculator. The pending Reorganization Plan, which has recently been declared operative, reduces the fixed charges of the system to a very conservative figure, so that the bond interest should be regularly covered with a substantial margin. Furthermore, the road's excellent exhibit under current adverse conditions gives promise of a substantial earning power available for the junior securities.

The protracted receivership of the M. K. & T. will ultimately be found to have strengthened the position of the new issues. For during this period large expenditures were made for the physical rehabilitation of every part of the system. The resulting improvement in roadway and equipment has in turn led to greater operating efficiency, so that its transportation costs during the past year have been considerably lower than the average of other roads.

[8] The "Final Reorganization Plan," issued by the I.C.C. in February, 1940, contains a number of departures from the Examiner's plan, but the changes would not materially affect the conclusion reached above.